

Welcome Offer Access to everything. Now 30% off. [Upgrade now](#)

Finance



India



Economics



Investing



Data Science



MONETARY POLICY · NBFC SECTOR · INDIA

The six-month delay between what RBI does and what your NBFC loan costs

[Open in app](#) ↗**Medium**

Search



Write



2



When the RBI cuts rates, NBFCs don't immediately pass on cheaper credit. When it hikes, the pain takes time to arrive. Here's why — and what it means for India's largest shadow banking sector.

Imagine you're running a mid-size NBFC in India. The RBI governor announces a 50 basis point rate hike. Your CFO immediately starts fielding calls from analysts asking how margins will be affected. But here's the thing: your actual cost of borrowing won't meaningfully change for at least two quarters.

That's not a malfunction in the system. It's how the system is built.

India's NBFCs — the finance companies that lend to truck drivers in Rajasthan, kirana owners in Tamil Nadu, and first-time home buyers in Tier 2 cities — don't borrow from the RBI. They fund themselves through commercial paper, bonds, and bank loans. Each of those has its own repricing clock. And that clock is slow.

The setup

₹38 lakh crore and no direct line to the RBI

India's NBFC sector is enormous. As of March 2024, NBFC balance sheets exceeded ₹38 lakh crore -roughly a quarter of the entire banking system's credit. NBFCs serve the borrowers banks have historically ignored: rural vehicle buyers, microentrepreneurs, gold loan seekers, informal workers. The sector's health is therefore not just a capital markets story. It's a real economy story.

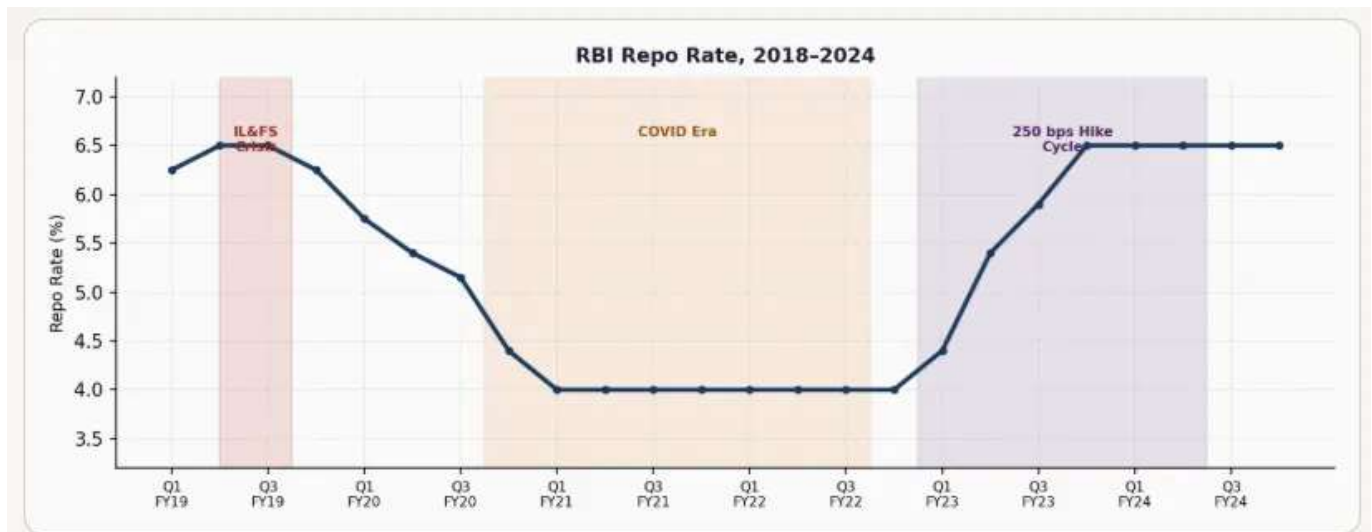
But unlike banks, NBFCs can't walk up to the RBI's Liquidity Adjustment Facility and borrow at the repo rate. They have to go to the market — commercial paper markets, NCD (non-convertible debenture) markets, and banks who then add their own margin. Every step in that chain introduces a lag.



The data

Six years, five companies, one rate cycle to rule them all

I tracked five listed NBFCs — Bajaj Finance, Muthoot Finance, Chola mandalam, Shriram Finance, and M&M Financial Services — across 24 quarters from FY2019 to FY2024. That span contains everything: the IL&FS shock, a pandemic, emergency rate cuts, and the sharpest hiking cycle in a decade.



The repo rate went from 6.5% down to 4% and back up to 6.5% in six years. Three distinct shocks sit inside that arc.

Three events define this period. The **IL&FS default in September 2018** froze NBFC funding markets almost overnight — commercial paper issuances dropped over 40% in the following quarter. **COVID** brought the sharpest demand contraction in decades alongside emergency rate cuts. And the **2022–23 hiking cycle — 250 basis points in under a year** — tested how quickly NBFCs could pass on rising costs without killing loan growth.

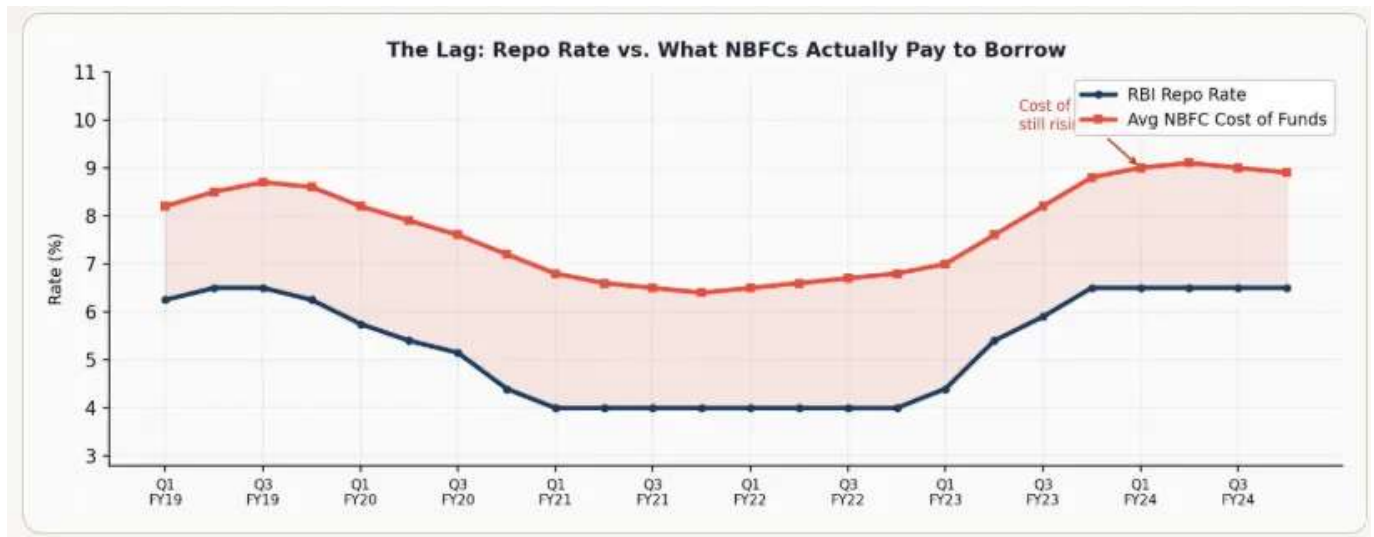
The core finding

Rate changes arrive — just not when you'd expect

The central finding of the study is simple: NBFC lending responds most strongly to a repo rate change that happened two quarters ago, not last quarter, not now.



Here's why. Short-term commercial paper reprices immediately — within one quarter. But the bulk of NBFC funding comes from NCDs (bonds) with two to five year tenors at fixed rates, and bank borrowings linked to MCLR. Those reprice slowly. The blended funding cost of an NBFC only settles into the new rate environment about six months after the RBI moves.



Notice the gap. The NBFC funding cost (orange) follows the repo rate (navy) but arrives late — especially visible in the hiking cycle from 2022 onwards, where funding costs kept rising even after the RBI paused.

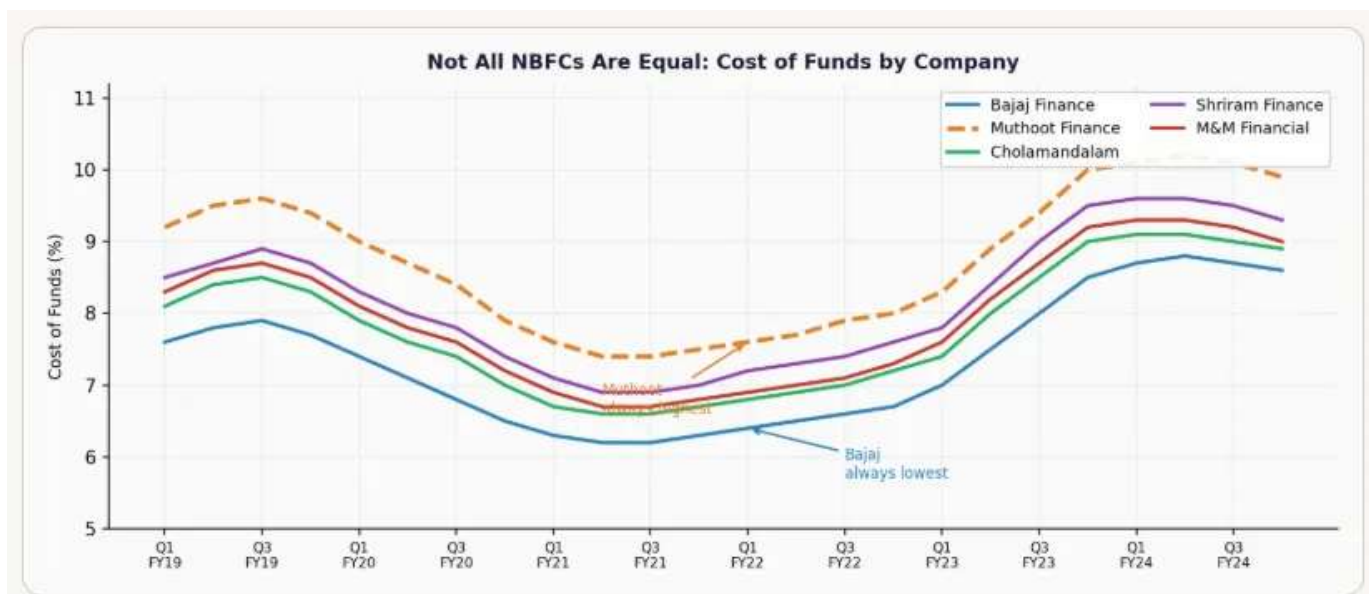
“A one percentage point repo rate hike today predicts a 6.8 percentage point slowdown in NBFC loan growth — but only six months from now.”

Running a simple regression across the full panel, the repo rate coefficient almost doubles in magnitude when you move from a contemporaneous specification to a two-quarter lag. The R^2 jumps from 0.33 to 0.42. The effect becomes highly statistically significant. The two-quarter lag isn't just the best fit — it has a structural explanation.

The nuance

Not all NBFCs feel it the same way

Here's where it gets interesting. Aggregate studies of monetary transmission flatten out what is actually a very heterogeneous sector. Look at what each of these five companies actually pays to borrow:



Muthoot consistently borrows more expensively than everyone else. Bajaj consistently borrows cheapest. The gap between them held fairly steady throughout — but both move with the rate cycle.

Company	Core business	Rate sensitivity	Why
Bajaj Finance	Consumer loans, SME	Fast	Short-tenor book reprices quickly; consumer demand rate-sensitive
Muthoot Finance	Gold loans	Near zero	Demand driven by gold prices & LTV rules, not the repo rate
Cholamandalam	Vehicle, home loans	Moderate	Medium-tenor book, moderate repricing speed
Shriram Finance	Commercial vehicles	Slow	Borrowers driven by freight cycles more than interest rates
M&M Financial	Rural, tractors	Slow	Monsoon and agri income matter more than the repo rate

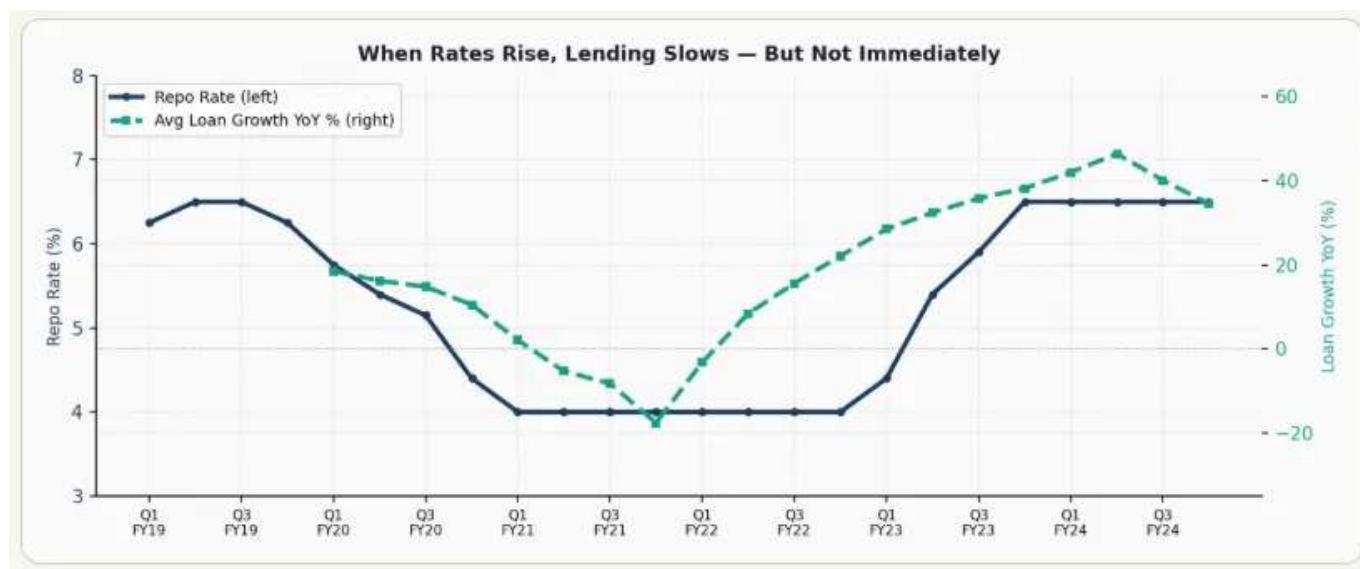
The outlier is Muthoot. When you run the regression separately for each company, Muthoot's coefficient is effectively zero — not because the data is noisy, but because gold loan NBFCs operate on a completely different transmission channel. If you're studying monetary policy transmission through NBFCs, Muthoot probably shouldn't be in the same bucket as Bajaj Finance.

The awkward part

The “cuts stimulate lending” story didn't hold — and COVID is why

One hypothesis I wanted to test was whether rate hikes hurt lending faster than rate cuts help it — the so-called “rocket and feathers” effect. Banks in

India show this asymmetry. The intuition is simple: lenders pass on rate increases quickly (to protect margins) but drag their feet on cuts (to hold onto margins).



Loan growth (green, right axis) tells a complicated story. It collapsed during COVID when rates were being cut, and held up surprisingly well during the 2022–23 hike cycle — exactly the opposite of the simple textbook prediction.

Why the asymmetry test gets complicated

The biggest rate cuts in this dataset happened during COVID — the worst demand shock in decades. The biggest hikes happened during the post-COVID boom — when demand was so strong it absorbed the higher costs. So the demand-side story and the rate story are tangled together in a way that’s hard to separate without more years of data or fancier econometrics.

The statistical result is counterintuitive on the surface: the “rate cut” coefficient is negative, suggesting cuts are associated with *lower* loan growth. That’s the COVID effect talking. The “rate hike” coefficient is positive and insignificant — because loan growth was booming during the 2022–23 hikes anyway. The takeaway isn’t that rate cuts hurt lending. It’s that you can’t

cleanly test this question with a sample where the largest cuts and the largest demand shock happen simultaneously.

The so what

Two things this means in practice

For the RBI: the two-quarter lag means the dashboard shows yesterday's movie. When the MPC is deciding whether to hike for the fifth consecutive time, the full impact of hikes two and three hasn't hit NBFC credit supply yet. Rapid hiking cycles can therefore over-tighten — the pain accumulates with a delay.

For NBFC regulation: the COVID GNPA spikes were sharpest at M&M Financial and Shriram Finance, both of which serve rural and commercial vehicle borrowers. Their asset quality is cyclically far more vulnerable than Bajaj Finance's urban, salaried book. A one-size-fits-all provisioning framework probably underestimates the tail risk in the rural and CV segments.

[This piece is based on original research using quarterly data from BSE/NSE filings, RBI publications, and MOSPI GDP releases for FY2019–FY2024.]

Finance

+

India

+

Economics

✓

Investing

+

Data Science

✓



Written by Tarun Chaudhary

1 follower · 2 following

Follow

Data Science student | AI & Analytics | Sharing what I learn, build, and discover.